

of transparency, and management concerns. Besides, fractionally owned properties often have professionally managed finances, maintenance, and legalities. These perks are further driving the trend by providing a hands-off investment experience to owners.



HRAVAN GUPTA, CO-FOUNDER and CEO of fractional ownership firm Yours, says the customised experience an owner gets every time they check in, is a key part of the play. To offer a seamless experience, the company encourages owners to list out their requirements before checking in. From how many

chilled beer cans need to be available to which room fresher should welcome the guests, an array of possibilities are offered. These, apart from services such as professionally trained staff, including specialised chefs-on-demand, has made the model more attractive. Per data from Knight Frank, the market size of fractional ownership properties in India—growing at an annualised rate of 10.5 per cent—is expected to expand by 65 per cent, from \$5.4 billion in 2020 to \$8.9 billion in 2025.

78 | “Various factors like diminished affordability of premium properties, changing lifestyle and investment preferences, smooth tech-facilitated user experience, and the rising number of start-ups and investment platforms, have all contributed to the trend,” says Vimal Nadar, Senior Director and Head of Research of Colliers India. Although the underlying assets range from commercial property to farms and vacation homes, the second-home segment is the one seeing the most activity. Moreover, investors are flocking to popular tourist destinations like Alibag, Lonavala, Goa, Kodagu, Rishikesh and Shimla, among others, for their second homes.

Amit Goyal, MD of India, Sotheby's International Realty, says the market may be growing at a fast clip but it is yet to reach full potential. “The activities are currently in the range of properties worth ₹10-20 crore that are being turned into holiday homes. Mostly, there are six to ten co-owners... The India market is more concentrated in that range,” he says. Yours, for instance, deals in homes priced between ₹5 to ₹20 crore in locations like Goa, Alibag and the Nilgiris, where properties are divided into eight equal shares. The platform floats a special purpose vehicle (SPV) for each property, and the co-owners own shares in it. “Globally, and research also corroborates this, our calculations show that eight is the right number for slicing the ownership of a second home. It gives roughly 45 days of ownership a year to each shareholder,” says Gupta.

Then there is Bengaluru-based Strata that specialises in fractional ownership of premium commercial real estate. Its Co-founder and CEO Sudarshan Lodha, says the space is seeing interest from diverse professionals like lawyers and doctors and even entrepreneurs. “Their first objective is to get exposure to the real estate market. And professionally acquired and managed commercial assets are a lucrative avenue now,” he says. But challenges remain. Per Colliers' Nadar, investor appetite for fractional ownership is “still



RICH DIVIDENDS

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The real estate co-ownership market in India is estimated to reach \$8.9 billion by 2025, per Knight Frank

Popular locations include Goa, Alibag, Rishikesh, Shimla, Lonavala, etc.

Assets like yachts and private jets are also on the co-owners' radar

While owning yachts may be challenging, fractional ownership of private jets is rising due to a growing pool of HNIs in India

